

Executive Summary

Superstore Sales Analysis

Objective

The objective of this project was to analyze the Superstore sales dataset using Microsoft Excel to evaluate overall business performance and address key business concerns raised by management. The analysis focused on identifying high- and low-performing products, evaluating regional performance, understanding the impact of discounts on profitability, and identifying the company's most valuable customers. Pivot Tables, Pivot Charts, Excel formulas, and an interactive dashboard were used to generate actionable business insights.

Business Performance

During the analyzed period, the company generated **total sales of \$2,297,201** with a **total profit of \$286,397** from **5,009 customer orders**, resulting in an **average order value of \$458.61**. Monthly sales showed an overall upward trend with seasonal fluctuations, indicating stable business growth throughout the period.

Product Performance

Product analysis revealed that **Technology** was the company's best-performing category, generating both the highest sales (**\$836,154**) and the highest profit (**\$145,455**). **Furniture** also achieved high sales but produced considerably lower profits, indicating weaker profit margins.

At the sub-category level, **Chairs** and **Phones** were among the strongest contributors to revenue. However, **Bookcases**, **Tables**, and **Supplies** generated negative profits despite generating sales. This suggests that these products may be affected by pricing strategies, operational costs, or excessive discounts and require further business review.

Regional Performance

The **West** region generated the highest overall profit, followed by the **East** region. In contrast, the **Central** region recorded the lowest profitability.

State-level analysis identified several underperforming locations that generated financial losses, including **Texas, Ohio, Pennsylvania, Illinois, Colorado, Tennessee, North**

Carolina, Arizona, Florida, and Oregon. These results indicate that regional pricing strategies, operational costs, or sales practices should be reviewed to improve profitability.

Discount Analysis

The analysis suggests that **higher discounts are generally associated with lower profitability**. Among all categories, **Furniture** received the highest average discount (17.39%), followed by **Office Supplies** (15.73%) and **Technology** (13.23%).

Further investigation identified multiple highly discounted products that also generated significant financial losses. This indicates that the current discount strategy may be reducing profit margins rather than increasing overall business performance. A review of discount policies is recommended, particularly for products that consistently produce negative profits.

Customer Analysis

Customer analysis showed that the **Consumer** segment generated both the highest revenue and the highest profit, making it the company's most valuable customer segment. The **Corporate** segment ranked second, while the **Home Office** segment contributed the least revenue.

The Top 10 customers accounted for a significant share of total sales, highlighting the importance of customer retention strategies and personalized marketing efforts for high-value customers.

Recommendations

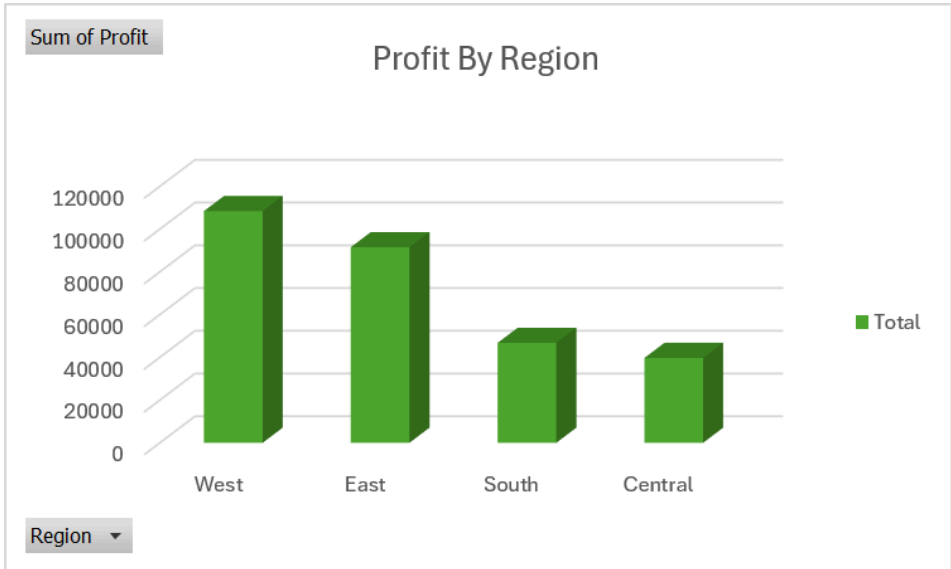
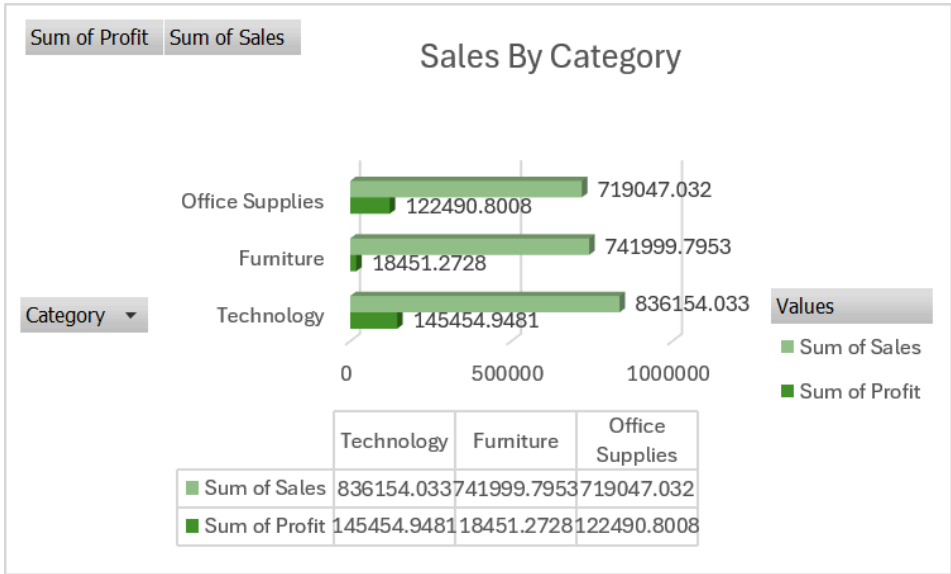
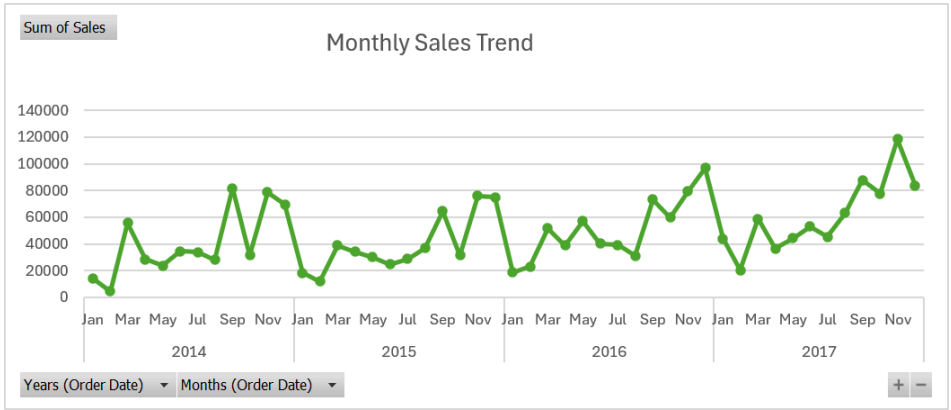
Based on the analysis, the following recommendations are proposed:

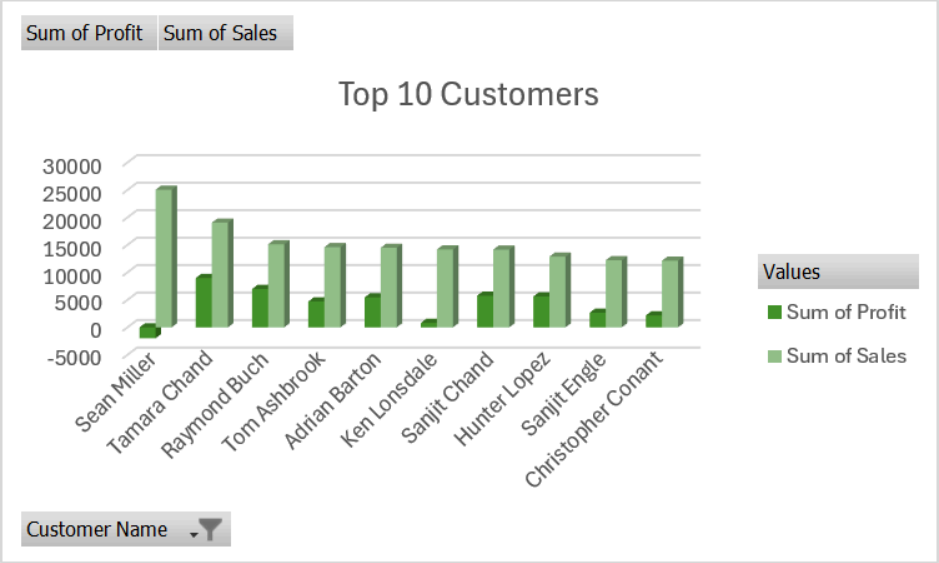
- Review and reduce excessive discounts on products with consistently negative profits.
- Reassess pricing strategies for underperforming sub-categories such as **Bookcases**, **Tables**, and **Supplies**.
- Investigate the causes of losses in underperforming states, particularly **Texas**, **Ohio**, and **Pennsylvania**.
- Continue investing in profitable categories, especially **Technology**, to maximize revenue and profitability.
- Strengthen customer retention programs for high-value customers and the **Consumer** segment.
- Monitor regional performance regularly to identify emerging issues and support data-driven decision-making.

Conclusion

The analysis indicates that Superstore is a profitable business with strong overall sales performance. However, profitability is being affected by excessive discounting, underperforming product categories, and losses in specific regions. By optimizing discount strategies, improving product profitability, and focusing on high-value customers and profitable markets, the company can further enhance financial performance and support sustainable long-term growth.

Appendix





THE END